

UHU007: FUNDAMENTALS OF ECONOMICS

L	T	P	Cr
2	0	0	2.0

Course Objectives: The purpose of the course is to enable the students to learn and apply economics concepts to assist in decision making to achieve desired economic goals. The course will help acquire knowledge of various market structures and learn how they function. This course will help to enhance their capability to comprehend the prevailing economic and business policy.

Microeconomics: Principles of Demand and Supply - Supply Curves of Firms - Elasticity of Supply; Demand Curves of Households - Elasticity of Demand; Equilibrium and comparative Statics (Shift of a Curve and Movement along the Curve); Welfare Analysis - Consumers' and Producers' Surplus - Price Ceilings and Price Floors; Consumer Behaviour - Axioms of Choice - Budget Constraints and Indifference Curves; Consumer's Equilibrium - Effects of a Price Change, Income and Substitution Effects -Derivation of a Demand Curve; Applications - Tax and Subsidies - Intertemporal Consumption - Suppliers' Income Effect; Theory of Production – Production Function and Iso-quants - Cost Minimization; Cost Curves - Total, Average and Marginal Costs -Long Run and Short Run Costs; Equilibrium of a Firm Under Perfect Competition; Monopoly and Monopolistic Competition

Macroeconomics: National Income and its Components - GNP, NNP, GDP, NDP; consumption Function; Investment; Simple Keynesian Model of Income Determination and the Keynesian Multiplier; Government Sector - Taxes and Subsidies; External Sector - Exports and Imports; Money - Definitions; Demand for Money -Transactionary and Speculative Demand; Supply of Money - Bank's Credit Creation Multiplier; Integrating Money and Commodity Markets - IS, LM Model; Business Cycles and Stabilization - Monetary and Fiscal Policy - Central Bank and the Government; The Classical Paradigm - Price and Wage Rigidities - Voluntary and Involuntary Unemployment

Course Learning Outcomes (CLOs) / Course Objectives (COs):

Upon completion of this course, students will be able to:

1. Deduce reasonable predictions about possible economic outcomes based upon economic conditions and economic theories.
2. Analyze data to support economic decision making using statistical and econometric techniques.
3. Evaluate alternative economic policies.
4. Create explanations for new economic phenomena and devise innovative approaches to solve various economic problems.

Text Books:

1. Pindyck, Robert S., and Daniel L. Rubinfeld, Microeconomics, Pearson; 2017.
2. Dornbusch, Fischer and Startz. Macroeconomics, McGraw Hill Education;, 2018
3. Paul Anthony Samuelson, William D. Nordhaus. Economics, McGraw-Hill, 2019

Reference Books:

1. Intermediate Microeconomics: A Modern Approach, Hal R, Varian, SPRINGER, 2019.
2. Principles of Macroeconomics, N. Gregory Mankiw, Cengage Learning India Pvt. Ltd, 2017.